AI-Assisted Macroeconomic Analysis

Naman Jain – FT272022 | PGPM 2026–27 | Hero MotoCorp | Managerial Economics (Macro)

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Case Background

"RBI Cuts, Fed Holds: Who Wins and Who Bleeds?"

In August 2026, the Reserve Bank of India's Monetary Policy Committee cut the repo rate by 25 basis points to 5.00%, signalling a shift toward supporting growth amid moderating inflation. The US Federal Reserve, meeting the same week, held rates steady at 3.25–3.75%, citing persistent services inflation and a resilient labour market. The Indian rupee depreciated further against the dollar, with FII equity outflows continuing for the third consecutive month. Global commodity prices remained elevated, adding to cost pressures across import-dependent sectors. You are a macroeconomic analyst at a mid-size Indian firm. Your assigned firm's senior management has requested a rapid assessment note ahead of their board strategy meeting tomorrow.

Q1) Write the primary prompt you used to analyse how the macro environment described in the case background affects your assigned firm. Submit the prompt verbatim in a clearly labelled box.

You are a senior macro-economic analyst advising the board of Hero MotoCorp, one of India's leading two-wheeler companies. Assume: RBI has cut the repo rate 25 bps to 5.00%; the US Fed is holding at 3.25–3.75%; the rupee is depreciating; FII equity outflows are in their third consecutive month; global commodity prices are elevated.
Analyze the impact on Hero MotoCorp across the following dimensions: (1) raw material costs and profitability, (2) EV adoption and strategic investment, (3) demand & sales volumes. For each, state the transmission channel, the likely direction of impact, and one risk. Flag where your answer depends on data you don't have.

Q2) In 150–200 words, summarise the AI's response in your own words. Do not paste the AI output directly.

The AI suggested that in the current environment, rising costs are likely to have a bigger impact on Hero MotoCorp than demand. Elevated global commodity prices raise the input cost per two-wheeler, and because a share of inputs is dollar-linked, a depreciating rupee adds further pressure — together squeezing margins unless Hero raises prices or cuts costs. The AI stressed that a weaker rupee particularly raises the cost of imported EV battery cells, hitting EV unit economics that are already thinner than ICE. On the supportive side, it argued the 25-bps repo cut lowers Hero's cost of financing EV capex and, more importantly, reduces EMIs on two-wheeler loans — aiding demand in the rural and entry-level segments where Hero is strongest. The opportunity it flagged: cheaper credit supports both Hero's own capex and customer uptake of higher-priced EV models. The risk it flagged: Hero's planned sub-₹1 lakh mass-market EV scooter is most exposed, since imported battery cells raise costs exactly where Hero has least pricing flexibility, threatening its affordability strategy.

Q3) Find one real news article or data release published in the last 60 days that relates to your assigned firm, its sector, or a directly relevant macro variable.

Hero MotoCorp Flags Near-Term Margin Pressure amid Higher Input Cost – AutoCar Professional – 06 May 2026

The article confirms the AI's cost-side analysis. Hero' CEO identified aluminium, steel, rubber and plastics as the key commodities seeing the cost inflation, with material costs up by INR 2100 per vehicle and price hikes of only around 2% not fully covering the bill of materials increase. This supports the AI's view that higher costs are putting pressure on profit margins. It also confirms the EV risk that EV investments are weighing on near-term profitability, though losses per unit are reducing with scale. This matters for Hero because management itself admits pricing power has limits: the board cannot rely on price hikes alone, making cost – control and bill of materials programme the real margin defence.

Q4) In 150–200 words, identify the most important analytical gap in the AI's response — something it missed, underweighted, or stated too generically for your assigned firm's specific situation.

The most important gap is that the AI's risk analysis centred on imported EV battery cells as the primary commodity threat, whereas Hero MotoCorp's own Q4 FY26 commentary identifies the dominant cost drivers as aluminium, steel, rubber and plastics — classic ICE and crude-derivative inputs rather than currency- or battery-linked ones (plastics being petrochemical-based, their cost tracks crude oil). This matters for Hero specifically because its actual disclosed cost shock — roughly ₹2,000 per vehicle of input inflation in Q4 FY26 — is overwhelmingly an ICE-commodity and crude story, not an EV-import story. The AI treated both issues as a single import-cost problem. In reality, Hero's biggest short term challenge is higher steel, aluminium, rubber and plastic costs across its ICE business. EV losses, by contrast, stem mainly from sub-scale volumes, not expensive materials. To close this gap, we would need Hero's cost breakdown by material category, the import – linked versus domestically sourced split and sensitivity of plastic costs to crude price movements.

Q5) Write a 100-150 words recommendation to the CFO of your assigned firm, answering this question: "Given the current macro environment — RBI repo rate cut, rupee depreciation, and sustained FII outflows — should our firm revise its near-term capital allocation and operational strategy? If yes, how specifically? If no, why not?"

Yes — I would advise the CFO to revise strategy on the cost side. With rupee depreciation and elevated commodity prices driving real, disclosed cost pressure of about ₹2,000 per vehicle, I recommend prioritising design-to-cost and value-engineering — using more cost-effective components while protecting quality — and accelerating the LEAP cost-reduction programme. Crucially, these savings should not be diverted to defend ICE margins at the expense of EV scale-up, since EV losses stem from sub-scale volumes; cutting EV capex would only lock in losses longer. I would use the cheaper financing from the repo cut to expand dealer and retail EV loan support, directly aiding the upcoming affordable scooter. Hero's debt-free, net-cash balance sheet means sustained FII outflows pose limited direct funding risk, so capex need not be cut defensively. If crude oil prices fall and the rupee stabilises, Hero can gradually return to a more balanced investment strategy between ICE and EV.

Q6) Describe one specific moment during this assignment where the AI's output was genuinely useful — not in a generic sense, but in a way that changed or sharpened your thinking about your specific assigned firm. What did the AI surface that you would not have arrived at as quickly on your own?

The most useful moment was when the AI distinguished EV losses being a "scale related drag" versus a "commodity volatility" problem after I pushed back on its generic risk framing. I hadn't separated these two causes myself - I had assumed expensive battery explained EV losses. Cross checking against Hero's actual earnings call showed management attributed losses to insufficient volume, not material costs. This changed my recommendation to the CFO, instead of focusing on battery costs, I realised the priority should be increasing EV volumes. Without the AI forcing a structured breakdown of cost channels, I would likely have conflated the two problems and landed on the wrong recommendation.

Q7) Describe one specific moment where you disagreed with, corrected, or discarded the AI's output. What was wrong with it? How did you detect the error? What did you replace it with?

I disagreed with the AI's initial risk analysis, which centred on imported EV battery cells as the dominant near term threat. This felt wrong once I read Hero's Q4 FY26 earnings article, where the CEO explicitly named aluminium, steel, rubber and plastics, not the batteries, as the cost drivers with plastic tied to crude oil prices. I detected the error by comparing the AI's general assumption that a weaker rupee would mainly increase import costs against this specific sourced disclosure. I replaced it with a corrected gap analysis: the real near term risk is crude linked plastic costs hitting the core ICE business, while EV losses are a separate scale issue.

AI Prompt Used:

AI Settings –

You are committed to honesty and accuracy above all else. Follow these rules in every response:

1. UNCERTAINTY - If you are not fully certain about a fact, say so clearly. Use phrases like "I'm not certain, but...", "You should verify this...", or "I may be wrong here, but...". Never state uncertain things as facts.
2. SOURCES - Do not invent paper titles, URLs, or book references. If you cannot name a real, verifiable source, say so. It is better to admit you don't know the source than to fabricate one.
3. STATISTICS & NUMBERS - Flag any statistic you are not 100% confident in. Say "I believe this is approximately..." and recommend the user verify it from an official or primary source.
4. RECENT EVENTS - Remind the user when a topic may have changed since your knowledge cutoff. Do not guess at current events or present outdates info as current.
5. PEOPLE & QUOTES - Never attribute a quote to a real person unless you are certain they said it. If unsure, say "I cannot confirm this quote is accurate."

Primary Prompt –

You are a senior macro-economic analyst advising the board of Hero MotoCorp, one of India's leading two-wheeler companies. Assume: RBI has cut the repo rate 25 bps to 5.00%; the US Fed is holding at 3.25–3.75%; the rupee is depreciating; FII equity outflows are in their third consecutive month; global commodity prices are elevated.
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Prompt for Q6 –

You have framed EV losses primarily as a commodity and import cost problem driven by battery cell prices. But I want you to separate two distinct causes: is the EV loss per unit driven by expensive input materials, or by insufficient sales volume that prevents overhead recovery? Analyse Hero MotoCorp's EV business specifically through these two lenses and tell me which one dominates the near term drag on profitability.

Prompt for Q7 -

Your risk analysis centres on imported EV battery cells as the dominant near term threat from rupee depreciation, I have now read Hero MotoCorp's Q4 FY26 earnings commentary, where management explicitly named aluminium, steel, rubber and plastics, not battery cells, as the primary cost drivers, with plastics specifically tied to crude oil prices. Given this, revise your analysis: what is the correct primary commodity risk for Hero MotoCorp's near-term margins, and how does the EV cost story need to be separated from the ICE commodity story?